Creating & Pitching a Deal

A pitch is how a deal starts.

Who you pitch. What they need to believe. How big the market really is. What you ask for.

Getting to yes requires passing 7 tests.

Your goal is the next meeting, not the check.

Who's across the table · The 7 tests · Building the pitch · Sizing the market · Creating the deal · In the room

Same Story, Three Audiences



INVESTORS WANT

Market, edge, growth

- A big enough market
- Why you win it
- Room to grow



CUSTOMERS WANT

Pain relief and proof

- My problem, fixed
- Proof it works
- Who else uses it



EMPLOYEES WANT

Mission and growth

- Work that matters
- Real impact
- A career path

FOR THIS ROOM

You'll pitch customers, partners and hires far more often than investors. The investor pitch is the hardest version. Learn it and the rest get easier.

Angels and VCs Want Different Things

	Angel	VC
WHOSE MONEY	Their own	Other people's (their LPs)
WHEN	Earlier, smaller checks	Later, larger checks
HOW THEY DECIDE	Gut, relationship, fast	Process, partner meeting
NEED TO BELIEVE	A good outcome	A fund-sized outcome
WHAT ELSE	Often hands-on	Board seat, governance

The VC Fund Raising Process



The 7 Tests: What an Investor Has to Believe

1	I understand the product	PRODUCT
2	There's a market and an opportunity	MARKET
3	I like and trust the team	TEAM
4	I buy the operating plan	OPS PLAN
5	I buy the financial plan	FIN PLAN
6	I can make money investing	RETURN
7	I want to learn more	NEXT MEETING

Start with the Problem

1

What problem do you solve?

2

Who has it?

3

What does it cost them today?

4

Who will pay to make it go away?

LEAD THE CONVERSATION

If you don't clearly describe your business, a VC will disengage or, worse yet, start making up their vision of what you should be doing!

The Document Stack

Elevator pitch

- Who you serve
- The problem
- Why you
- The ask

30 SECONDS

Exec summary

- Problem and solution
- Market
- Team
- Traction and ask

1 PAGE

Pitch deck

- Sequoia's twelve
- Story first
- Clear ask
- Read-ahead version

10 TO 15 SLIDES

Business plan

- The full story in detail
- Ecosystem picture
- Business model canvas

20 TO 30 PAGES

Financials

- Pro forma
- Business model
- CAC
- Recurring customers

DETAILED SPREADSHEETS

The Elevator Pitch, Filled In

THE FRAMEWORK

We're a category company that serves segment & size who problem or task and pain or gain. Our service what it does, which impact. To date we've milestones and built a team of who. We're looking to raise amount to use and deliver milestones.

ÉCLAT · LABELED HYPOTHETICAL

We're a **craft chocolate** company that serves **Philadelphia-area companies** who **send client and employee gifts** and **want something better than a gift basket**. Our gifting program **delivers handmade, single-origin collections**, which **makes theirs the gift people remember**. To date we've **built a corporate program alongside the West Chester shop** and built a team of **a Master Chocolatier and a small atelier**. We're looking to raise _____ to _____ and deliver _____.

The Executive Summary

ZENDAYFUS

An Integrated Hub for Professional Job Seekers

Market Opportunity

Target Job Seekers

- ***Job Changers***
  8-12 million
- ***New College Grads***
  1.8 million
- ***Un/Under Employed***
  6 million
- ***Military Transition***
  150-200 thousand

Location

West Chester, PA

Contacts

Scott Sill / CEO
scott@zendayfus.com
610-715-2248

www.zendayfus.com
yes, it's still in stealth mode

At its core, the job search process is a sales process. Zendayfus is the first integrated jobs platform that has been developed to make the job search more effective by creating tools analogous to Salesforce.com and developing a process tailored to job search. The platform provides additional unique features such as third party mentoring, which allows monitoring and coaching the job seeker's job search progress, and integrated company information, for finding and researching target companies. After two years of development, the Company's experienced management team has developed a working first version of the platform and received affirmation of the value proposition from job seekers, college career services offices, and third party advisors - the three most likely subscribers and supporters of the Zendayfus platform.

In any given year approximately 20 million professional workers in the United State will be looking for a new job. The goal for every job seeker is to find a great job that fits his or her needs as quickly and efficiently as possible. For the individual looking for a job, its an incredibly stressful time and requires a significant amount of work to manage the process. For those who are unemployed, the emotional stress is compounded. Without a job, the individual lacks the daily structure of going to work, an awkward situation with their family and social network, and the economic pressure of not having a regular paycheck.

The principals of Zendayfus have been investigating the job search space for two years and conducted over 50 interviews with job seekers, career coaches, corporate HR and sales coaches. We have an excellent understanding of how the job seekers conduct their job searches and the pain they experience in the process. For job seekers there are three consistent pains:

1. *Organizing all the information and activities,*
2. *Struggling to identify companies that are viable targets, and*
3. *Feeling alone and without a support network.*

What is Zendayfus?

Zendayfus is not another job board. Zendayfus is an integrated system linking search process management, company reference information, and a support network. At its core, Zendayfus tracks the opportunities, activities, contacts, notes, and follow-up items from the networking and application and interview process associated with a job search.

One of the most important features of the Zendayfus app is that the user can enable a mentor – a trusted peer, executive transition coach, or college career counselor – to view their full activity and support them in their search. Having a mentor provides the job seeker with advice, feedback, motivation and a sense of commitment during the search. We think this feature is our "special sauce" and have validated that point with our initial users.

The Zendayfus Process

Many job seekers today primarily spend their time combing job boards and company websites looking for open positions. The reality is that a lookup on one of the job boards buries the job seeker with numerous listings, many of which don't meet the individual's search objectives or have been open for many months and are stale. Zendayfus has developed a workflow for the job seeker starting with setting search objectives followed by building a list of target companies, and then actively networking and applying. This process follows the workflow of a professional salesperson. Having an integrated system allows Zendayfus to efficiently build a target company list from the job seeker's search objectives and to build a networking list of contacts that can assist with introductions and support.

ZENDAYFUS

Who's Buying the Product?

Zendayfus has identified three groups of potential customers: individual job seekers, third party search advisors, and corporate departments. Among third party advisors are college career services departments, executive coaches, and military transition programs. Each of these groups provides guidance to job seekers and has an interest in seeing them find a job. Corporate HR departments may provide a Zendayfus subscription as part of a severance package to speed up placement and avoid future unemployment compensation claims.

State of the Product

Zendayfus has built a functioning base implementation of the search process management system and has users on the system. The current release is a bare bones implementation targeted at early adopters who are more interested in access to new technology and less concerned with appearance or support. We've validated that our assumptions resonate with our target audience, built the base application, and are now preparing a general release version in preparation for aggressively acquiring customers.

Business Forecast

	Year 1	Year 2	Year 3	Year 4	Year 5
Users	1,200	11,000	80,000	250,000	600,000
Revenue	$216	$1,980	$14,400	$45,000	$108,000
EBITDA	$(368)	$(792)	$3,600	$21,250	$57,000

Capital Raise

Zendayfus is raising $500,000 to fund the initial growth stage of the Company, enhance the web site and begin building a team that can implement the operating plan presented in the Business Plan. Targeted close for the funding is Fall 2013.

Investment Opportunity Highlights

- **Constantly renewing opportunity – 20 million job seekers per year**
- **Recurring customer engagement – Average job duration < 4 years**
- **Two years of Research & Development**
- **Working first version of application**
- **Product/Market Fit validated thru interviews and prototyping**
- **Differentiating feature through Mentoring**
- **Third party customer segment that will purchase multiple user licenses**
- **Led by two very experienced entrepreneurs/managers**
- **Year 5 Forecast – 600,000 Users, $57MM EBITDA**

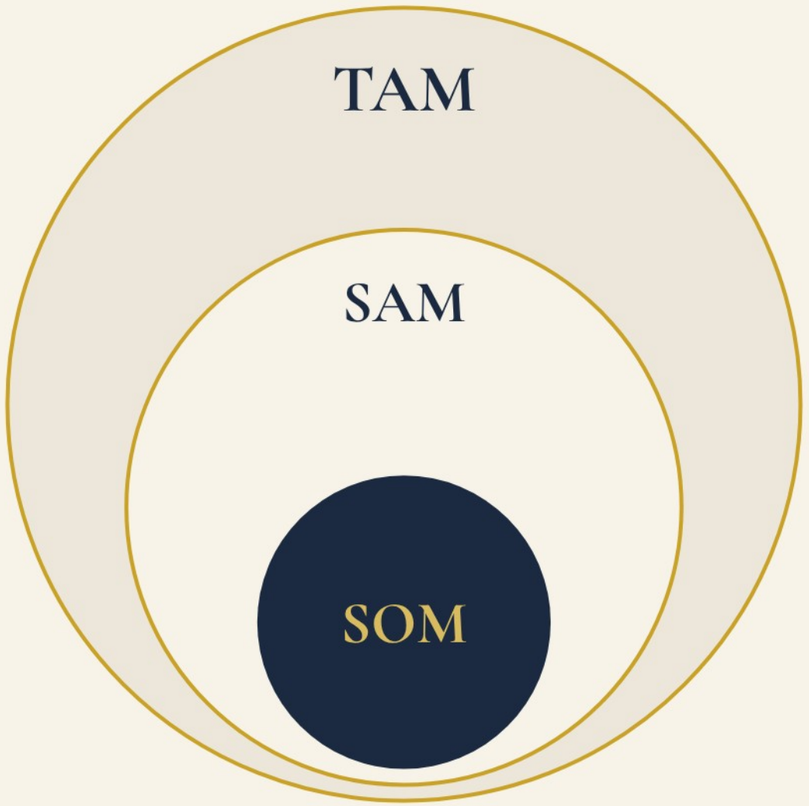
A full business plan is available for interested accredited investors.

The Sequoia Pitch Structure

SECTION	1 PRODUCT	2 MARKET	3 TEAM	4 OPS PLAN	5 FIN PLAN	6 RETURN	7 NEXT MTG
1 Purpose							●
2 Problem	●	●					
3 Solution	●						
4 Why now		●					
5 Market		●					
6 Competition		●		●			
7 Product	●						
8 Business model				●	●		
9 Team			●				
10 Financials					●		
+ Traction			●	●			
+ The Ask						●	●

☐ SEQUOIA'S TEN ◧ OUR TWO ADDITIONS ☐ ● = THE TEST THIS SECTION HELPS PASS

TAM / SAM / SOM: The Slide Everyone Hates!



TAM — TOTAL ADDRESSABLE MARKET
Potential customers × average annual revenue per customer

SAM — SERVICEABLE AVAILABLE MARKET
TAM × **% you can realistically serve**

SOM — SERVICEABLE OBTAINABLE MARKET
SAM × **% you can realistically capture**

THE INVESTOR'S READ

Prove to the investors you know the market inside and out.

Your Real SOM Is the Lowest Gate



GATE 1

Demand

2,000 reachable companies × 25% buy premium client gifts

500
POSSIBLE CLIENTS

GATE 2

Sales Channel Capacity

5 tastings a week × 40 weeks × 1 in 10 convert

20
CLIENTS

GATE 3

CAC Budget

$24K budget ÷ CAC $1,500 ($150 a tasting × 10)

16
CLIENTS

GATE 4 · THIS ONE LIMITS YOU

Production Level

December capacity 1,200 boxes ÷ 100 boxes an order

12
CLIENTS

CONVERSION − 1 in 10 +

DEC. CAPACITY − 1,200 +

SOM: **12 clients** · $30K

ALL FIGURES ARE ILLUSTRATIVE ASSUMPTIONS FOR TEACHING. THEY ARE NOT ÉCLAT'S NUMBERS. AVG ORDER ASSUMED 100 BOXES × $25.

Wrap Up: Where Does the Round Get the Company?

FROM · TODAY

- Customers and revenue
- Team
- Product

→

TO · END OF THE ROUND

- Two or three concrete milestones
- What the business looks like
- Fundable next time, or profitable

THE TAKEAWAY MESSAGE

The round should lift the gate that limits you. Buy proof, not time.

Demand
Fix the offer before you raise

Sales Channel Capacity
Salespeople, partners, channels

CAC Budget
Acquisition spend, if LTV beats CAC

Production Level
People, equipment, space

Éclat's Ask: From Gate to Milestones to Raise

1 · THE GATE

Production Level

- Caps Éclat at 12 corporate clients
- Goal: 30 next holiday season

2 · THE MILESTONES

- Second production line by September
- Seasonal team trained by October
- 30 orders signed by mid-November

3 · THE RAISE

Equipment	$40K
Seasonal labor	$20K
Packaging and inventory	$15K
Buffer	$10K
The ask	**$85K**

WHAT KIND OF MONEY FITS?

An equipment loan, a seasonal line of credit, or a revenue share. Not VC. Same pitch skills, different deal.

Winning Pitch Tactics

BEFORE

- Enlist shared network outreach
- Plant conversation starters
- Match the detail to what they know

IN THE ROOM

- Invite pushback
  "Tell me more..."
- Ask what you're missing
  "What am I missing?"
- Admit what you don't know
  "I'll get back to you tomorrow."
- Read their interest level

AFTER

- Send thank-you cards
- Ask who else you should talk to
- Ask permission to send updates

Pitch Killers

BEFORE

- Pitch before you've talked to customers
- Email the deck you present
- Ask for an NDA

IN THE ROOM

- Bury them in detail
- Inflate the numbers
- Claim you have no competition
- Duck the "why you" question
- Talk the whole time
- Leave without a clear ask

AFTER

- Skip the thank-you note
- Skip the follow-up
- Follow up too much
- Go silent on status updates

BEFORE NEXT SESSION

7 Tests. Win the Next Meeting.

1

Your four problem answers

2

Your elevator pitch, every line filled

3

Your bottom-up SOM, and the gate that limits you

The **Pitch Builder** arrives on the community site this week. This is draft one of your S20 capstone pitch.

Pitch Round

60 seconds. Your pitch and your ask.

The room: which test didn't you pass, and what would pass it?